

# Procurement Policy Overview

## Document Information

- **Document Number:** PROC-001
  - **Title:** Procurement Policy Overview
  - **Version:** 3.2
  - **Effective Date:** January 15, 2026
  - **Owner:** Chief Procurement Officer
  - **Approved By:** Board of Directors
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## 1. Purpose

This policy establishes the principles and framework for all procurement activities at Acme Corporation. It ensures that all purchases of goods and services are conducted in a transparent, ethical, and cost-effective manner while mitigating supply chain risk and maintaining compliance with applicable laws and regulations.

## 2. Scope

This policy applies to all employees, contractors, and temporary staff who initiate, approve, or process procurement transactions on behalf of Acme Corporation. It covers all direct and indirect spend categories across all business units and geographic locations.

## 3. Policy Statements

### 3.1 Core Principles

All procurement activities shall adhere to the following principles: - **Value for Money:** Procurement decisions shall optimize total cost of ownership, not just purchase price. - **Fair Competition:** Suppliers shall be given equal opportunity to compete for business through transparent processes. - **Integrity:** All procurement personnel shall avoid conflicts of interest and maintain the highest ethical standards. - **Compliance:** All purchases shall comply with applicable laws, regulations, and internal policies. - **Sustainability:** Environmental and social considerations shall be integrated into procurement decisions.

### 3.2 Delegation of Authority

The procurement authority is delegated as follows: - **Up to \$10,000:** Department Manager may approve without competitive bidding. - **\$10,001 to \$100,000:** Procurement Manager must issue minimum three quotes. - **\$100,001 to \$1,000,000:** Formal RFP process required with Procurement

Director approval. - **Over \$1,000,000:** Full competitive tender required with Board approval.

### **3.3 Preferred Suppliers**

Acme Corporation maintains an Approved Supplier List (ASL). All purchases shall be directed to ASL suppliers unless a valid business reason exists to use a non-approved supplier. Non-approved supplier use requires documented justification and Procurement Manager approval.

### **3.4 Purchase Requisition**

All procurement transactions must begin with a Purchase Requisition (PR) approved by the budget holder. No purchase order shall be issued without an approved PR. Emergency purchases may follow the Emergency Procurement Procedure (PROC-019) with retroactive PR approval.

### **3.5 Purchase Orders**

A legally binding Purchase Order (PO) must be issued for all purchases exceeding \$500. POs must reference the approved PR number and contain complete specification, quantity, price, delivery terms, and payment terms. No supplier may commence work without a valid PO number.

### **3.6 Contract Requirements**

All procurement contracts shall follow the Contract Management Procedure (PROC-042). Contracts exceeding \$50,000 require Legal review. All contracts shall include governing law, dispute resolution, termination clauses, and SLA requirements.

### **3.7 Supplier Evaluation**

All suppliers shall be evaluated annually using the Supplier Scorecard system. Suppliers failing to meet performance thresholds shall be placed on a Corrective Action Plan. Persistent non-performance shall result in removal from the Approved Supplier List.

### **3.8 Record Retention**

All procurement records shall be retained for a minimum of seven years from the date of final payment. Records include POs, contracts, correspondence, evaluation documentation, and payment records.

## **4. Compliance and Enforcement**

Violations of this policy shall be reported to the Chief Procurement Officer and may result in disciplinary action up to and including termination. Suspected

fraud or corruption shall be reported through the Ethics Hotline.

## 5. Related Documents

- PROC-012: Vendor Qualification and Evaluation
- PROC-034: Purchase Order Process
- PROC-042: Contract Management Procedure
- PROC-055: Supplier Code of Conduct
- PROC-008: Import Export Compliance
- PROC-019: Emergency Procurement Procedure
- FIN-001: Accounts Payable Policy
- LEG-001: Contract Review Guidelines

## 6. Revision History

| Version | Date     | Description                                |
|---------|----------|--------------------------------------------|
| 3.2     | Jan 2026 | Updated delegation of authority thresholds |
| 3.1     | Jul 2025 | Added sustainability principle             |
| 3.0     | Jan 2025 | Full rewrite for global operations         |